

NVIDIA Q2 2025 Earnings Transcript — Blind Sentiment & Directional Score

Manual Baseline Worksheet — earnings of 28 May 2025

Dragos Macsim

June 29, 2026

Conventions (sealed before reading)

- **Outputs (exactly four per quarter):** sentiment score from -1 to $+1$; directional signal in {BUY, HOLD, SELL}; structured summary; evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 1.00\%$. Above $+1.00\%$, BUY is correct. Below -1.00% , SELL is correct.
- **Timing rule:** NVIDIA releases after market close ($\sim 4:20\text{pm ET}$), with the earnings call at $5:00\text{pm ET}$. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, and is applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: NVDA price action, after-hours quotes, or post-call analyst takes.
- **Scope of this file:** Q2 2025 — NVIDIA's earnings report released 28 May 2025 (covering the operating quarter ended 27 April 2025), one of the four 2025 NVIDIA prints in this baseline. NVIDIA's own filings label this report fiscal Q1 FY26; this baseline uses plain calendar labels by release date to match the Netflix arm. Scored blind and sealed independently, then verified against the realised overnight move.

Note on the share count. NVIDIA's 10-for-1 split (June 2024) predates this window, so all prices below are as-reported — no adjustment applies anywhere in this file.

Q2 2025 — earnings of 28 May 2025

Company	NVIDIA Corporation (NVDA)
Report	Q2 2025 — for the quarter ended 27 April 2025
Release date	Wednesday 28 May 2025, after close
Earnings call	5:00pm ET
Source transcript	Press release + CFO commentary (investor.nvidia.com) + earnings-call transcript (Motley Fool)
Read mode	cold, transcript only, no price chart or after-hours quote
Time to produce	48 minutes

Source material (read this first)

Note: the H20 quarter. On 9 April 2025 the US government required a licence for H20 exports to China; NVIDIA disclosed the hit by 8-K in mid-April, six weeks before this print. The question is not whether the news is bad — it is whether it is still news.

Headline financials

- Revenue \$44.06B (+69% YoY) vs \$43.31B LSEG consensus — beat.
- Non-GAAP EPS \$0.81 as reported; **\$0.96 excluding the H20 charge** vs \$0.93 LSEG consensus — beat on the comparable basis (GAAP \$0.76).
- Non-GAAP gross margin 61.0% including the charge; **71.3% excluding it** (vs 78.9% a year ago).
- The \$4.5B charge covers H20 excess inventory and purchase obligations — less than the ~\$5.5B first flagged in April, as materials were re-used. \$4.6B of H20 was sold in the quarter before the ban; \$2.5B more went unshipped.

Data centre and segments

- Data Center \$39.1B, +73% YoY, ~89% of revenue; Blackwell now nearly 70% of Data Center compute, the Hopper transition essentially done.
- Networking \$5.0B, +64% QoQ — the promised recovery delivered.
- Gaming a record \$3.76B (+48% QoQ) as Blackwell supply arrived.
- Sovereign-AI pipeline announced in-quarter: HUMAIN AI factories (Saudi Arabia), Stargate UAE, Taiwan build-outs; ~100 NVIDIA-powered AI factories in flight, 2x YoY.

Margins, supply and cash

- Q3 2025 gross margin guided to 72.0% non-GAAP ± 50 bp, still “working toward... the mid-70% range late this year.”
- Operating cash flow \$27.4B; free cash flow \$26.1B; cash and investments \$53.7B.
- Inventory \$11.3B; purchase commitments \$29.8B.

China and export controls

- Huang, unusually blunt: “the \$50 billion China market is effectively closed to US industry. The H20 export ban ended our Hopper data center business in China.”

- And on policy: “The US has based its policy on the assumption that China cannot make AI chips. That assumption was always questionable and now it’s clearly wrong.”
- Kress: losing access to the China AI accelerator market “would have a material adverse impact on our business.”

Capital return

- \$14.3B returned in the quarter (\$14.1B buybacks) — the buyback accelerated into the April drawdown.

Forward guide

- Q3 2025 revenue guided to **\$45.0B $\pm 2\%$** , explicitly absorbing “a loss in H20 revenue of approximately \$8.0 billion.”
- The optics: \$45.0B sits *below* the pre-existing \$45.9B street number. The arithmetic: ex-H20, the guide implies roughly \$53B of underlying demand — well above what the street modelled ex-China.

Hedges and concerns

- The China hole is structural while controls stand: ~\$10.5B+ of annualised H20 revenue gone (\$2.5B unshipped + \$8B guided out), with no licensed replacement product.
- Ex-charge gross margin (71.3%) is still ~7pts below a year ago; mid-70s is a target, not a delivery.
- Export controls framed by the CEO as actively strengthening Huawei at home and abroad.
- Headline optics are genuinely ugly: reported EPS \$0.81, margin 61%, guide below street — a surface reader sees a miss-and-cut.

Candidate evidence quotes

1. “AI inference token generation has surged tenfold in just one year, and as AI agents become mainstream, the demand for AI computing will accelerate.” — Jensen Huang, press release.
2. “Revenue is expected to be \$45.0 billion, plus or minus 2%. This outlook reflects a loss in H20 revenue of approximately \$8.0 billion due to the recent export control limitations.” — Colette Kress, CFO commentary (the guide, and its footnote).
3. “On April 9, 2025, we were informed by the U.S. government that a license is required for exports of our H20 products into the China market... The \$4.5 billion charge was less than what we initially anticipated as we were able to re-use certain materials.” — Colette Kress, CFO commentary (the one-off, pre-announced).
4. “Today; however, the \$50 billion China market is effectively closed to US industry. The H20 export ban ended our Hopper data center business in China.” — Jensen Huang, call remarks.
5. “The US has based its policy on the assumption that China cannot make AI chips. That assumption was always questionable and now it’s clearly wrong.” — Jensen Huang, call remarks.
6. “GAAP and non-GAAP gross margins are expected to be 71.8% and 72.0%, respectively... We are continuing to work toward achieving gross margins in the mid-70% range late this year.” — Colette Kress, CFO commentary.

Scoring

1. Sentiment score: +0.35. The reported numbers are the ugliest NVIDIA has printed in years — EPS dented to \$0.81, gross margin at 61%, a guide below the street, and a CEO openly saying a \$50B market is closed to him. But nearly all of the damage is the *already-disclosed* H20 event: strip it and this is a clean double beat (\$44.06B / \$0.96), networking re-accelerating +64% QoQ, gaming at a record, Blackwell at ~70% of Data Center compute, and an ex-H20 guide implying underlying demand far above street models. Positive, with the score held down by the genuine structural loss of China.

2. Directional signal: BUY. The discipline here is the mirror image of Netflix Q3 2025. There, a one-off charge (Brazil) sank the stock because it was *news on the night*. Here, the one-off was announced on 9 April and 8-K'd in mid-April — the market repriced it six weeks ago, violently. What is actually *new* in this print is almost all positive: the charge came in \$1B smaller than flagged, the ex-China engine is accelerating, and sovereign-AI demand opened a second front. Pre-announced bad news does not move a stock twice. BUY.

3. Structured summary

- *Data centre and segments.* Strong underneath the optics — Blackwell transition complete-ish, networking recovered on schedule, gaming at a record.
- *Margins, supply and cash.* Damaged but explained; the 61% headline is the charge, the 71.3% underlying is the ramp. Recovery path unchanged.
- *China and export controls.* The genuine negative — a structural, CEO-confirmed loss, not a blip. But six weeks stale, and fully visible in the guide.
- *Forward guide.* Optically below street, arithmetically strong: absorbing an \$8B hole while guiding \$45B implies acceleration everywhere else.

4. Evidence quotes

1. “This outlook reflects a loss in H20 revenue of approximately \$8.0 billion due to the recent export control limitations.” (the guide’s footnote — the hole is named and bounded)
2. “The \$4.5 billion charge was less than what we initially anticipated as we were able to re-use certain materials.” (pre-announced, and smaller than feared)
3. “AI inference token generation has surged tenfold in just one year.” (the underlying demand signal)

— SEALED —

Overnight move and call verification

NVDA close, 28 May 2025 (release day)	\$134.81
NVDA open, 29 May 2025	\$142.25
Overnight move (release close → next open)	+5.52%
NVDA close, 29 May 2025	\$139.19
Same-day return (release close → next close)	+3.25%

Call verification

- HOLD band test: $|+5.52\%| = 5.52\% \geq 1.00\%$, so this is not a HOLD.
- Sign test: $+5.52\% > 0$, so the correct directional call is **BUY**.
- Signal given: **BUY**. Result: **CORRECT**.

Brief reflection. The distinction that decided this call — *is the bad news new?* — is exactly what separated this quarter from Netflix’s Brazil-charge quarter, and it held. The market gapped the stock up 5.5% through a print whose surface read was a miss-and-cut, because the H2O damage had been priced in April and everything incremental was positive. Taken together with Netflix Q3 2025 (surprise charge, -7.9%), the pair makes a clean, falsifiable rule: one-off hits move stocks when disclosed, not when reported. That is a genuinely testable behaviour for the LLM arm.